AUDIT MANUAL

Year 2020

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Objectives

The primary objective of this audit manual is to support the firm and its staff to document the audit work that will provide:

- A sufficient and appropriate record of the basis for the auditor's report; and
- Evidence that the audit was planned and performed in accordance with the standards on auditing and applicable legal and regulatory requirements.

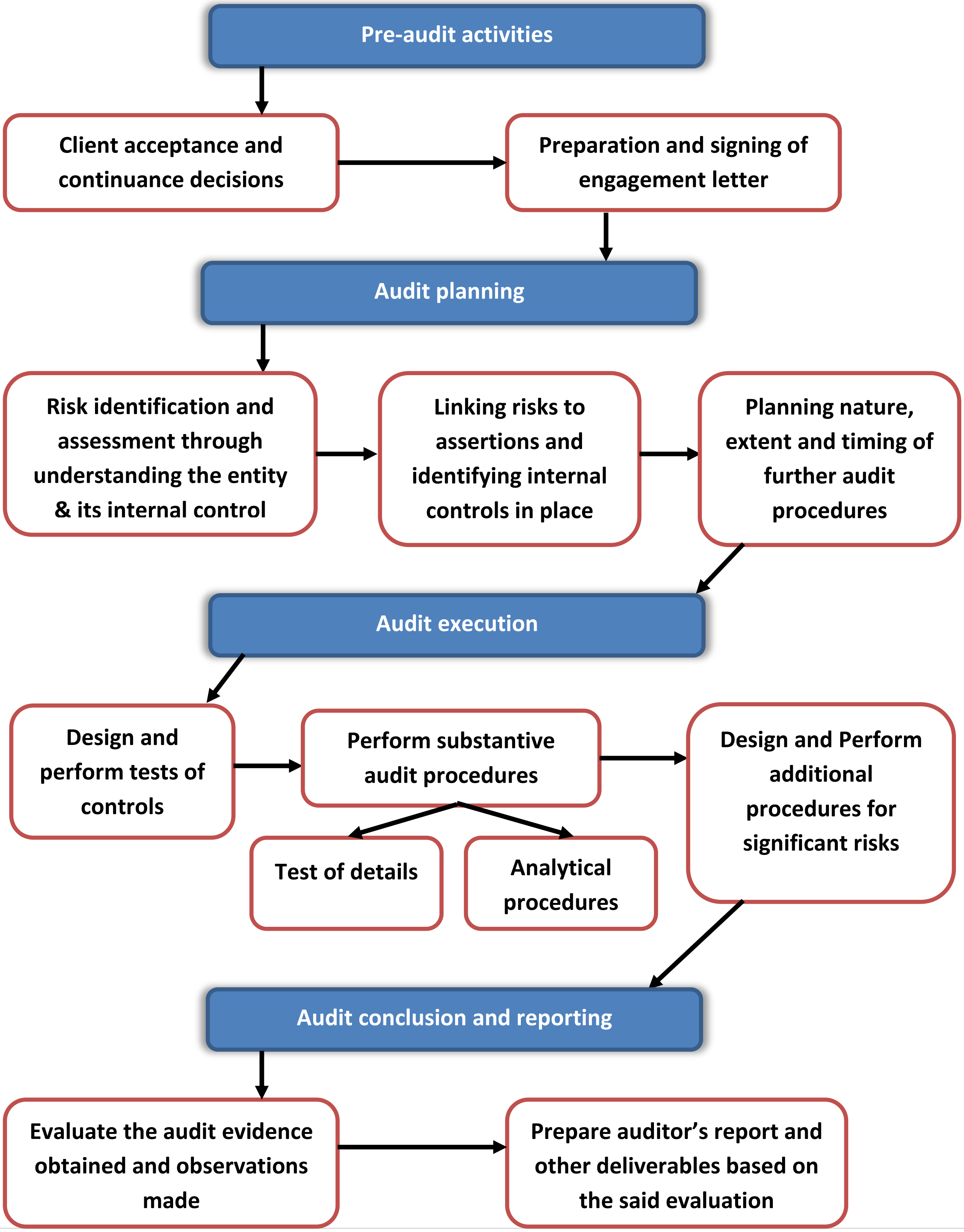
This audit manual has been prepared in conformity with the Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India (ICAI)

Applicability and Criteria for use

This audit manual is recommended for use on audit engagements where some or all of the following criteria are met.

- There is a concentration of ownership and management in a small number of individuals
- The entity follows accrual system of accounting
- The nature of entity's business is not expected to change significantly in the short run
- The entity's business is expected to be continued as a going concern
- The entity is not a public listed company

The audit process



I. PRE-AUDIT ACTIVITIES

I.1. Client acceptance and continuance

The section documents the policies and procedures for accepting an engagement. The engagement can either be a new one or existing one. The procedures in this section can be documented by using the acceptance /engagement continuance form. The form must be completed and signed off by the Partner prior to any detail work being commenced on the audit. Refer **Appendix 1** for a sample of the form.

When the engagement is new, acceptance procedures are performed but if it is an existing client, the continuance procedures are performed.

I.1.i. Client acceptance procedures

This section documents the policies and procedures that must be followed before accepting a new engagement. Client acceptance procedures are performed before agreeing to provide services for a new client, while continuance procedures are performed for each new engagement to an existing client.

- *Preliminary information of the engagement*: Obtain details of the engagement which should include the industry the entity operates, the size of the entity and any regulatory requirements among others. The engagement partner shall be satisfied that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed, and shall determine that conclusions reached in this regard are appropriate.

- *Firm experience*: It is the duty of the Partner to determine whether the firm has the required expertise to carry out the new engagement.

- *Competent personnel:* The partner should determine if the firm has the right personnel to carry out the engagement, in terms of skills, education and experience

- *Consultation with outgoing auditor(s)*: There is need to seek clearance, in writing from the outgoing auditor(s) before a new engagement is accepted. Such clearance must be filed in the permanent audit file and a copy in the audit working paper file. If in the course of obtaining the clearance, the outgoing auditor(s) is of the opinion that the engagement should not be accepted, he must state his reasons in writing to the incoming auditor(s).

- *Background check*: It is required that a background check be carried out for all new engagements and should be documented. The check must cover but not limited to the following:
  i) Directors of the prospective client

ii) Alleged corruption charges against the company and its directors
iii) Legality of the company's products

I.2. Engagement letter

I.2.i. Agreeing the terms of engagement on acceptance of the audit

Having decided to accept the audit, the auditor shall agree the terms of audit engagement either through a formal contract or through an audit engagement letter (which is the general practice). The Auditor is advised to go through the template in SA 210- Agreeing the Terms of Audit Engagement and modify it according to the requirements of the engagement.

Refer **SA 210** for engagement letter templates.

I.2.ii. Recurring audits

On recurring audits, the Auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit engagement.

1.2.iii. Changes in terms of audit engagement

Where a request has come to the Auditor to change the terms of engagement, the auditor should consider the justification given for the change. To accept or decline such request is a matter of his professional judgment having considered the relevant laws, auditing standards, ethical issues considerations and the prevalent circumstances.

The change in terms of an audit engagement would not be justified where the change relates to information that is incorrect, incomplete or otherwise unsatisfactory. For example, where the Auditor is unable to obtain sufficient and appropriate audit evidence regarding an assertion in a financial statement and the entity asks for the audit engagement to be changed to a review or agreed upon procedure engagement to avoid a qualified opinion or disclaimer of opinion.

If the Auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor should:

- Withdraw from the audit engagement where possible under applicable laws or regulation; and
- Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owner or regulators.

II. AUDIT PLANNING

This section deals with various aspects related to planning of an audit of financial statements. After agreeing the terms of audit with the entity and selection of the audit engagement team, the next stage is planning the audit. The audit planning starts with establishing an overall audit strategy which is followed by designing an audit plan. Thereafter a detailed audit program is evolved for each material class of transactions and account balances to be audited. While planning the audit, the risks are identified and assessed through understanding the entity and the related control activities, if any are also identified. The assertions affected by the risks are identified and appropriate test of controls and substantive procedures are designed as responses for the assessed risks. The nature extent and timing of such further audit procedures and the resources required are also estimated during the planning stage. The planning stage also includes setting the materiality levels for the audit engagement and identification of related parties and transactions with related parties.

II.1. Audit strategy, plan and programs

Establishing the overall audit strategy includes the macro level aspects such as selection of engagement team, selecting branches/components of the auditee that needs to be covered under the audit, considerations as to whether other auditors or experts need to be involved etc. After establishing the overall audit strategy, a more detailed audit plan is developed wherein the objectives to be achieved in respect of each material class of transaction, account balance and disclosures are specified. Thereafter, audit programs are developed which detail the procedures to be performed in order to achieve the objectives mentioned in the audit plan

II.2. Risk assessment through understanding the entity and its environment

The auditor shall perform risk assessment procedures to provide a basis for the identification and assessment of risks of material misstatement at the financial statement and assertion levels. Risk assessment procedures by themselves, however, do not provide sufficient appropriate audit evidence on which to base the audit opinion. The risk assessment procedures shall include the following:

- Inquiries of management, of appropriate individuals within the internal audit function (if the function exists), and of others within the entity who in the auditor’s judgment may have information that is likely to assist in identifying risks of material misstatement due to fraud or error.
- Analytical procedures
- Observation and inspection

Professional standards require the audit team to identify and assess risks of material misstatements at (1) the financial statement level and (2) the assertion-level for classes of transactions, account balances and disclosures, whether due to error or fraud. Risk assessment means identifying the risks that could cause the financial statements to be materially misstated. One important aspect of risk assessment procedure is to understand the entity and its environment, including its internal control. This understanding is essential in identifying risks of material misstatements, whether due to error or fraud, relating them to the financial statement assertions, and assessing the likelihood that they could cause a material misstatement.

Obtaining an understanding of the entity and its environment and assessing risk is a continuous process that occurs throughout the audit. Risk assessment does not occur solely at the planning stage. Instead the audit team continually remains alert for additional risks while conducting the engagement. If additional risks or modifications to the original risks are noted, the audit team may need to adjust the audit plan.

The risk assessment process is the foundation for the audit. The audit team needs to first conduct a thorough risk assessment (including fraud risk) process and then properly designs and performs procedures that directly respond to the identified risks.

In addition to enhancing the effectiveness and efficiency of the audit, understanding the entity helps to develop meaningful, timely and constructive recommendations to management and those charged with governance. The understanding the entity's industry can be gained from periodicals, trade association publications, professional publications, internet sites and so on.

II.2.i. Guidelines for obtaining the understanding

Nature of the entity

- The entity's business operations, including location, products and/or services, sources of revenue, markets, major customers and suppliers, competition, related parties, outsourced activities, employment
- Its ownership structure and governance (who owns the business and those charged with governance)
- The types of investments (planned or recent acquisitions, securities, loans, fixed assets, special-purpose entities), including related matters such as debt covenants, leasing activities, off-balance sheet arrangements and the use of derivatives
- The way it is financed (this includes how the business obtains funds to operate)
- Accounting principles and industry practices, revenue recognition policies, accounting for complex or unusual transactions, financial statement presentation and disclosures.

Industry, regulatory and other external factors, including the applicable accounting framework

- Industry conditions, such as the competitive environment, supplier and customer relationships, technological considerations related to its products, energy supply and cost
- Regulatory environment including the applicable accounting principles and industry-specific practices, the type and extent of regulatory oversight, the legal and political

environment, including taxation and trade issues, government policies and environmental requirements
- General economic conditions, interest rates, inflation and financing options

Objectives, strategies, and related business risks

- The objectives or overall plans for the entity (defined by those charged with governance) to address business risks
- Strategies (operational approaches set by management to achieve these objectives)
- The related business risks (events, conditions, circumstances or actions that could adversely affect the entity's ability to achieve its objectives and execute its strategies, including the risk of a material financial statement misstatement)

Measurement and review of financial performance

- Key ratios, operating statistics and performance indicators (financial and non-financial)
- Budgets, variance analyses, segment information and divisional, departmental, and other level performance reports

II.3. Materiality

The audit team's consideration of materiality on an engagement is a matter of professional judgment. It reflects the perception of how misstatements could reasonably be expected to influence the economic decisions of users of the financial statements.

The users of the financial statements refer to users as a group, not specific individual users. Materiality provides guidance to auditors' professional judgments in assessing the common financial information needs of such users of financial statements. It is reasonable for the audit team to assume that users:

- Have reasonable knowledge of the business and economic activities and accounting; and a willingness to study the information in the financial statements with reasonable diligence.
- Understand that financial statements are prepared and audited to levels of materiality.
- Recognize the uncertainties inherent in the measurement of amounts based on the use of estimates, judgment, and the consideration of future events.
- Make reasonable economic decisions on the basis of the information in the financial statements.

The concept of materiality is applied by the audit team in:

- Planning and performing the audit;
- Evaluating the effect of identified misstatements on the audit;

- Evaluating the effect of uncorrected misstatements on the financial statements; and
- Forming the opinion in the auditor's report.

II.3.i. Calculation of materiality

To determine the overall materiality, the Auditor first establishes the materiality level for the financial statements as a whole. This can only be arrived at by determining the benchmark and applying the benchmark percentage. The benchmark table is as follows:

Consideration	Benchmark	Rate
Profit oriented entities	Net profit before tax	5% to 15%
Not for profit entities	Turnover	0.5% to 5%
Not for profit entities or entities where profit/loss before tax is not considered appropriate	Total assets	1% to 5%
Entities with very limited operations / operations not yet started	Total assets/Net assets	1% to 5%

These are only guideline benchmarks and rates and the auditor can choose to adopt a different benchmark or a different rate for any type of entity listed above provided the reasons for choosing such a benchmark/rate are adequately documented.

II.3.ii. Determination of performance materiality

The auditor should determine a performance materiality which is a level of materiality that is set below the calculated materiality. This is done so as to bring down to an acceptably low level, the risk that, aggregate of undetected and uncorrected misstatements exceeds materiality. Performance materiality can be set between a range of 70% to 95% of the overall materiality level depending on the professional judgment by the auditor about the engagement risk.

II.3.iii. Different materiality levels and revision of materiality

The audit may choose to use different materiality levels for financial statements and material classes of transactions, account balances and disclosures based on professional judgement. The materiality levels once set can also undergo revision as the audit progresses as new evidences and findings are brought up. The audit team must ensure that at the evidence evaluation level of all engagements, where the level of the identified risk is higher than expected, the materiality level will be adjusted down to give room for further audit work. As such, the audit work paper must document the adjustment on the materiality level and as well adjust all work papers to reflect the level of work carried out.

II.4. Financial statement assertions

The objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, through understanding the entity and its environment, including the entity's internal control, thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement.

Assertions are representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

Assertions used by the auditor in considering the different types of potential misstatements that may occur may fall into the following categories:

1. Assertions about classes of transactions and events, and related disclosures, for the period under audit:
    - Occurrence - transactions and events that have been recorded or disclosed, have occurred, and such transactions and events pertain to the entity.
    - Completeness - all transactions and events that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
    - Accuracy - amounts and other data relating to recorded transactions and events have been recorded appropriately, and related disclosures have been appropriately measured and described.
    - Cutoff - transactions and events have been recorded in the correct accounting period.
    - Classification - transactions and events have been recorded in the proper accounts.
    - Presentation - transactions and events are appropriately aggregated or disaggregated and clearly described, and related disclosures are relevant and understandable in the context of the requirements of the applicable financial reporting framework.

2. Assertions about account balances, and related disclosures, at the period end:
    - Existence - assets, liabilities, and equity interests exist.
    - Rights and obligations - the entity holds or controls the rights to assets, and liabilities are the obligations of the entity.
    - Completeness - all assets, liabilities and equity interests that should have been recorded have been recorded, and all related disclosures that should have been included in the financial statements have been included.
    - Accuracy, valuation and allocation - assets, liabilities, and equity interests have been included in the financial statements at appropriate amounts and any resulting valuation or allocation adjustments have been appropriately recorded, and related disclosures have been appropriately measured and described.
    - Classification - assets, liabilities and equity interests have been recorded in the proper accounts.
    - Presentation - assets, liabilities and equity interests are appropriately aggregated or disaggregated and clearly described, and related disclosures are

relevant and understandable in the context of the requirements of the applicable financial reporting framework.

II.5. Identifying internal controls in place at the entity

Internal control is a process implemented by an entity's management, employees, other personnel and those charged with governance that is designed to achieve three objectives: effective and efficient operations, reliable financial reporting, and compliance with laws and regulations. Establishing and maintaining effective internal control are important responsibilities of the management and require continuous management supervision in order to ensure that controls are operating as intended and appropriately modified as needed.

- The auditor shall obtain an understanding of the control environment
- The entity’s risk assessment process forms the basis for how management determines the risks to be managed. If that process is appropriate to the circumstances, including the nature, size and complexity of the entity, it assists the auditor in identifying risks of material misstatement. Whether the entity’s risk assessment process is appropriate to the circumstances is a matter of judgment.
- The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting.
- The auditor shall obtain an understanding of control activities relevant to the audit, being those the auditor judges it necessary to understand in order to assess the risks of material misstatement at the assertion level and design further audit procedures responsive to assessed risks.
- The auditor shall obtain an understanding of the major activities that the entity uses to monitor internal control relevant to financial reporting, including those related to those control activities relevant to the audit, and how the entity initiates remedial actions to deficiencies in its controls.

II.6. Planning substantive procedures

When designing and performing substantive analytical procedures, either alone or in combination with tests of details, as substantive procedures in accordance with SA 330 – Responses to assessed risks, the auditor shall:

- Determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions;
- Evaluate the reliability of data from which the auditor’s expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation;

The auditor should consider the resources at his/her disposal and plan the nature, extent and timing of further audit procedures (Including test of controls and substantive procedures) in such a way that sufficient and appropriate audit evidence can be collected and the audit engagement can be completed within a reasonable timeframe and cost.

III. AUDIT EXECUTION

This section deals with the operational part of the audit processs; ie, how the audit field work is executed. Once the audit planning is completed and engagement team members are assigned, the field work starts. During the field work, the auditor is required to make sure that sufficient and appropriate audit evidence is collected so as to form an opinion on the financial statements. The evidence may be obtained through external confirmations, analytical procedures, written representations etc. The auditor may use sampling techniques as well for obtaining audit evidence. The misstatements identified during the audit are evaluated to see whether they have a bearing on the opinion of the auditor.

III.1. Designing and performing test of controls

The auditor shall design and perform further audit procedures whose nature, timing and extent are based on and are responsive to the assessed risks of material misstatement at the assertion level.

In designing the further audit procedures to be performed, the auditor shall:

a) Consider the reasons for the assessment given to the risk of material misstatement at the assertion level for each class of transactions, account balance, and disclosure, including:
    - The likelihood of material misstatement due to the particular characteristics of the relevant class of transactions, account balance, or disclosure (i.e., the inherent risk); and
    - Whether the risk assessment takes account of relevant controls (i.e., the control risk), thereby requiring the auditor to obtain audit evidence to determine whether the controls are operating effectively

b) Obtain more persuasive audit evidence the higher the auditor’s assessment of risk.

The strength and effectiveness of internal controls as evaluated by the audit team determine the extent the audit team can rely on them to obtain sufficient appropriate audit evidence.

The audit team should select key controls in every important process related to areas in the financial statements or the entity as a whole where the risk of material misstatements is adjudged to be high.

In developing the testing strategy, it may be efficient and effective to place reliance on the continued effective operation of the entity’s controls and consequently take credit for the reliability of the management information that results in the entity’s external financial reporting. Once the level of evidence required is determined i.e. how much evidence will be obtained from testing the operating effectiveness of controls in respect of each relevant assertion, the nature, timing, and extent of substantive testing is then determined.

In most cases however, many small entities do not have these elaborate internal controls. In that situation, copious tests of effectiveness should not be performed on these controls as the audit team will not place much reliance on them. It is therefore recommended that more detailed substantive tests are carried out in areas of the financial statements where the risk of material misstatements is adjudged to be high and the entity does not have strong internal controls that can prevent or detect such misstatements.

Walkthrough testing may also be conducted to obtain audit evidence about internal controls. The audit team may gather the information necessary to document their understanding for a new client principally through inquiry and observation with reference to the entity's procedures manual. As a matter of efficiency, instead of first updating the understanding for any changes and later walking through transactions, the audit team may consider performing the walkthrough tests at the same time they make the inquiries and observations necessary to update their understanding.

When determining whether controls are implemented, the audit team should also consider the effectiveness of the design of the control in preventing or detecting errors or fraud. Identification of ineffective control procedures at this time will help avoid performing tests of controls that do not function well enough to justify lower control risk assessments.

When performing a walkthrough, the audit team ordinarily traces transactions through the transaction cycle beginning with the documentation resulting from a boundary event, such as the issuance of a receiving report while observing the operation of identified controls, the audit team follows the transaction through the system until it is ultimately summarized and recorded in the client's general ledger.

III.2. Substantive procedures

When designing and performing substantive analytical procedures, either alone or in combination with tests of details, as substantive procedures in accordance with SA 330, the auditor shall:

- Determine the suitability of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions;
- Evaluate the reliability of data from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation;
- Develop an expectation of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated;
- Determine the amount of any difference of recorded amounts from expected values that is acceptable without further investigation.

III.2.i. Investigating results of analytical procedures

If Substantive Analytical Procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

- Inquiring of management and obtaining appropriate audit evidence relevant to management's responses; and
- Performing other audit procedures as necessary in the circumstances.

III.2.ii. Tests of details

Depending on the circumstances, the auditor may determine that performing only test of details are appropriate. Tests of details are substantive audit procedures designed to identify the correctness of the related account balances. The nature of the risk and assertion is relevant to the design of tests of details. Because the assessment of the risk of material misstatement takes account of internal control, the extent of substantive procedures may need to be increased when the results from tests of controls are unsatisfactory. However, increasing the extent of an audit procedure is appropriate only if the audit procedure itself is relevant to the specific risk.

If the auditor has determined that an assessed risk of material misstatement at the assertion level is a significant risk, the auditor shall perform substantive procedures that are specifically responsive to that risk. When the approach to a significant risk consists only of substantive procedures, those procedures shall include tests of details.

The decision whether to use tests of details and which tests to apply may include considerations such as:

- the risk of material misstatements
- whether the tests would likely provide the needed evidence for the pertinent risks
- the costs and benefits of using tests of details versus applying other procedures, such as analytical procedures
- the costs and benefits of performing tests of controls to achieve the intended control reliance

III.2.iii. Sampling procedure

Various methods may be used by the auditor for selecting samples for testing. It needs to be ensured that the samples selected are representative of the entire population. The auditor may choose to apply sampling or test 100% of the account balances and transactions depending on his/her professional judgement. Sampling is usually applied in respect of cases where there are a large number of homogenous transactions or account balances which originate in similar manner and have similar features.

The auditor identifies the material classes of transactions and account balances that need to be tested during the audit engagement based on the materiality levels set. Account balances and transactions may be quantitatively or qualitatively material. There may be account balances which are lower than the set level of materiality but which contains transactions which are above the transaction verification threshold fixed by the auditor, if any. All such qualitatively and quantitatively material account balances and transactions are selected for testing and the auditor using professional judgement determines whether the selected ones need to be tested 100% or sampling needs to be done.

Sampling can be done on judgemental basis, using value weighted sampling methods, stratification etc. A combination of any of these methods can also be used appropriate to the circumstances. For instance, monetary unit sampling which is a value weighted sampling method can be used in conjunction with stratification by first stratifying the audit population into transactions that are above and below transaction verification threshold (TVT), if any and then picking samples from both these sub population based on value weights. It needs to be ensured that sampling provides the auditor with sufficient and appropriate audit evidence while at the same time do not overburden the audit process with unreasonable time and cost. As such minimum and maximum sample sizes have been fixed based on factors such as the number of transactions in the total population and the category of risk involved. The limits are as follows:

Particulars	**No of samples for TOD**		**No of samples for OE testing**	
	Significant risk	**Normal risk**	**Significant risk**	**Normal risk**
Minimum sample size	Lower of 24 or number of transactions in the ledger	Lower of 12 or number of transactions in the ledger	Lower of 24 or number of transactions in the ledger	Lower of 12 or number of transactions in the ledger
Maximum sample size				
For ledgers upto 100 transactions	24	12	24	12
For ledger with 100-250 transactions	36	20	24	12
For ledger with 250-500 transactions	48	30	36	18
For ledger with 500-1000 transactions	60	40	36	18
For ledger with > 1000 transactions	75	50	48	24

The auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level and the auditor shall select items for the sample in such a way that each sampling unit in the population has a chance of selection.

III.2.iii. Performing audit procedures and projecting misstatements

The auditor shall perform audit procedures, appropriate to the purpose, on each item selected. If the audit procedure is not applicable to the selected item, the auditor shall perform the procedure on a replacement item. If the auditor is unable to apply the designed audit procedures, or suitable alternative procedures, to a selected item, the auditor shall treat that item as a deviation from the prescribed control, in the case of tests of controls, or a misstatement, in the case of tests of details.

The auditor shall investigate the nature and causes of any deviations or misstatements identified, and evaluate their possible effect on the purpose of the audit procedure and on other areas of the audit. In the extremely rare circumstances when the auditor considers a misstatement or deviation discovered in a sample to be an anomaly, the auditor shall obtain a high degree of certainty that such misstatement or deviation is not representative of the population. The auditor shall obtain this degree of certainty by performing additional audit procedures to obtain sufficient appropriate audit evidence that the misstatement or deviation does not affect the remainder of the population.

For tests of details, the auditor shall project misstatements found in the sample to the population.

III.3. External confirmations

The objective of the Auditor, when using external confirmation procedures, is to design and perform such procedures to obtain relevant and reliable audit evidence. When using external confirmation procedures, the auditor shall maintain control over external confirmation requests such as determining what information to be confirmed or requested, selecting the appropriate confirming party, designing the confirmation requests etc.

If management refuses to allow the auditor to send a confirmation request, the auditor shall:

1) Inquire as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness;

2) Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and

Perform alternative audit procedures designed to obtain relevant and reliable audit evidence.

If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable, or the auditor is unable to obtain relevant and reliable audit evidence from alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with SA 260 (Revised). The auditor also shall determine the implications for the audit and the auditor's opinion in accordance with SA 705 (Revised).

The auditor shall evaluate whether the results of the external confirmation procedures provide relevant and reliable audit evidence, or whether further audit evidence is necessary. In the case of each non-response, the auditor shall perform alternative audit procedures to obtain relevant and reliable audit evidence.

III.4. Related parties

Irrespective of whether the applicable financial reporting framework establishes related party requirements, the auditor should obtain an understanding of related party relationships and transactions sufficient to be able:

- To recognize fraud risk factors, if any, arising from related party relationships and transactions that are relevant to the identification and assessment of the risks of material misstatement due to fraud; and
- To conclude, based on the audit evidence obtained, whether the financial statements, in so far as they are affected by those relationships and transactions achieve fair presentation (for fair presentation frameworks) or are not misleading (for compliance frameworks)

Additionally, where the applicable financial reporting framework establishes related party requirements, the auditor should obtain sufficient appropriate audit evidence about whether related party relationships and transactions have been appropriately identified, accounted for and disclosed in the financial statements in accordance with the framework.

The following procedures can be performed in respect of related party relationships and transactions as applicable

- Confirm the purpose, specific terms and conditions or amounts of the transactions with related parties
- Inspect significant contracts with related parties
- Review accounting records for transactions with newly identified related parties
- Perform required procedures on significant related party transactions outside the entity's normal course of business
- Evaluate whether the identified related party relationships and transactions have been appropriately accounted for and disclosed in accordance with the applicable framework.

III.5. Contingencies and commitments

The following procedures may be performed in relation to contingencies and commitments:

- Considering the results of the review of minutes of meetings of shareholders, directors and oversights bodies
- Understanding of significant contracts and agreements
- Obtaining bank and loan confirmations for items such as guarantees or other liabilities
- Examining legal correspondence
- Considering related party transactions and arrangements
- Understanding of applicable laws and regulations
- Agreeing contingencies and commitments to supporting documentations and assessed their nature to verify whether they have been treated appropriately.

III.6. Financial statements related procedures

III.6.i. Financial statements tie out

- Agree amounts from the financial statements with the underlying accounting records (e.g., trial balance), including agreeing or reconciling information in disclosure, whether such information is obtained from within or outside of the general and subsidiary ledgers,
- Agree that the grouping of general ledger accounts into the reported financial statements is appropriate, consistent and complete.
- Verify the mathematical accuracy of the general ledger
- Perform consistency and quality review procedures on financial statements

III.6.ii. Comparative information

- Determine whether the accounting policies reflected in the comparative information are consistent with those applied in the current period.
- Consider if a material misstatement in the comparative information has been identified while performing the current period audit.

III.6.iii. Financial statements presentation and disclosures

- Complete a Financial Statements Disclosure Checklist or its equivalent, tailored to the entity's circumstances and addressing the relevant accounting and other issues.
- Check whether overall presentation and disclosure is in accordance with the applicable framework, and the financial statements adequately refer to or describe the applicable financial reporting framework
- Check for qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments
- Ensure that accounting estimates made by management are reasonable
- Ensure that accounting policies selected and applied are consistent with the applicable framework and are appropriate and adequate disclosure of significant accounting policies have been presented in an understandable manner
- Check whether financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements
- Ensure that the terminology used in the financial statements, including the title of each financial statement, is appropriate

IV. AUDIT CONCLUSION AND REPORTING

This stage of the audit involves the audit team making sense of the evidence they have obtained from the client and seeing whether they have enough competent evidence to support management assertions. This step of the audit involves using professional judgment to make sure the evidence gathered is appropriate (relevant and reliable) and sufficient.

Having thoroughly evaluated the audit evidence, an appropriate audit report is issued.

IV.1. Documentation of audit procedures performed and audit evidence obtained

IV.1.i. Form, content and extent of audit documentation

The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand:

- The nature, timing and extent of the audit procedures performed to comply with the SAs and applicable legal and regulatory requirements;
- The results of the audit procedures performed, and the audit evidence obtained; and
- Significant matters arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions.

In documenting the nature, timing and extent of audit procedures performed, the auditor shall record:

- The identifying characteristics of the specific items or matters tested;
- Who performed the audit work and the date such work was completed; and
- Who reviewed the audit work performed and the date and extent of such review.

IV.1.ii. Departure from a relevant requirement

If, in exceptional circumstances, the auditor judges it necessary to depart from a relevant requirement in an SA, the auditor shall document how the alternative audit procedures performed achieve the aim of that requirement, and the reasons for the departure.

IV.1.iii. Assembly of final audit file

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report, ordinarily not more than 60 days after the date of auditor's report.

After the assembly of the final audit file has been completed, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period of seven (7) years after the date of auditor's report.

In circumstances other than those envisaged above where the auditor finds it necessary to modify existing audit documentation or add new audit documentation after the assembly of the final audit file has been completed, the auditor shall, regardless of the nature of the modifications or additions, document:

- The specific reasons for making them; and
- When and by whom they were made and reviewed.

IV.2. Evaluating the sufficiency and appropriateness of audit evidence

An audit of financial statements is a cumulative and iterative process. As the auditor performs planned audit procedures, the audit evidence obtained may cause the auditor to modify the nature, timing, or extent of other planned audit procedures. Information may come to the auditor's attention that differs significantly from the information on which the risk assessment was based.

In such circumstances, the auditor may need to re-evaluate the planned audit procedures, based on the revised consideration of assessed risks for all or some of the classes of transactions, account balances, or disclosures and related assertions.

The auditor's judgment as to what constitutes sufficient appropriate audit evidence is influenced by such factors as the following:

- Significance of the potential misstatement in the assertion and the likelihood of its having a material effect, individually or aggregated with other potential misstatements, on the financial statements.
- Effectiveness of management's responses and controls to address the risks.
- Experience gained during previous audits with respect to similar potential misstatements.
- Results of audit procedures performed, including whether such audit procedures identified specific instances of fraud or error.
- Source and reliability of the available information.
- Persuasiveness of the audit evidence.

IV.2.i. Evaluating the operating effectiveness of controls

When evaluating the operating effectiveness of relevant controls, the auditor shall evaluate whether misstatements that have been detected by substantive procedures indicate that controls are not operating effectively. The absence of misstatements detected by substantive procedures, however, does not provide audit evidence that controls related to the assertion being tested are effective.

If deviations from controls upon which the auditor intends to rely are detected, the auditor shall make specific inquiries to understand these matters and their potential consequences, and shall determine whether:

- The tests of controls that have been performed provide an appropriate basis for reliance on the controls;
- Additional tests of controls are necessary; or

- The potential risks of misstatement need to be addressed using substantive procedures.

IV.2.ii. Evaluating the results of planned substantive procedures

If we apply targeted testing to less than 100% of a population we need to evaluate the remaining risk of material misstatement of the untested balance at the assertion level. While it is not appropriate to project misstatements from targeted testing to the entire population as is done in audit sampling, targeted testing may allow us to make judgments about the untested items in the population, depending on the nature of the test and the population. For example, if coverage is the method used and all transactions are processed in the same way by the same system, then the items target tested would likely provide some information about untested items. However, items targeted because they are unusual or near period-end may provide little or no information about untested items.

When targeted testing is applied to less than 100% of a population, consider whether additional evidence is needed for the remaining balance not subject to targeted testing. When the total value of the account balance not subject to targeted testing exceeds performance materiality, understand the characteristics of the remaining population and use professional judgment to evaluate the risk of a material misstatement at the assertion level. In addition to the relationship of performance materiality to the amount of the account balance not subject to targeted testing, factors that are relevant to the conclusion on whether sufficient appropriate audit evidence has been obtained include the following:

- Significance of uncorrected misstatements and the likelihood of their having a material effect, individually or in combination, on the financial statements, considering the possibility of further undetected misstatement
- Effectiveness of management's responses and controls to address the risks
- Experience gained during previous audits with respect to similar potential misstatements
- Results of audit procedures performed in the audit of financial statements, including whether the evidence obtained supports or contradicts management's assertions and whether such audit procedures identified specific instances of fraud
- Auditor’s risk assessment
- Source and reliability of available information
- The appropriateness (i.e., the relevance and reliability) and persuasiveness of the audit evidence

IV.3. Evaluating misstatements

The auditor should:

- Reassess materiality to confirm whether it remains appropriate in the context of the entity’s actual financial results and perform more tests if required.
- Accumulate misstatements, including disclosure and cash flow misstatements, identified during the audit (other than those that are clearly trivial based on their

size, nature or circumstances) and determine whether the audit strategy and plan needs to be revised.

- Communicate on a timely basis all misstatements (uncorrected and corrected) to the appropriate level of management and requested that the uncorrected misstatements be corrected.
- Determine whether uncorrected misstatements are material based on the size and nature.
- Determine whether misstatements affecting prior periods (corrected in current period or remaining uncorrected) are material based on the size and nature.
- Consider whether misstatements identified throughout the audit, individually or in aggregate, are indicative of fraud.

IV.4. Other auditing and completion procedures

IV.4.i. Litigations and claims

The auditor should:

- Consider the results of audit procedures performed and evidence obtained throughout the audit, to identify previously unidentified litigation or claims.
- Review legal expense accounts after period-end to identify any litigation or claims that were not previously identified.
- Evaluate responses received from legal counsel(s).
- Perform additional procedures when management refuses to allow legal letters of inquiry to be sent or where the entity's external legal counsel is prohibited from responding.

IV.4.ii. Subsequent events

The auditor should:

- Obtain understanding of management's procedures to identify subsequent events
- Inquire of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred.
- Review all minutes of meetings of shareholders, directors and other relevant oversight bodies held after the financial statement date and inquired about matters discussed at meetings for which minutes are not yet available.
- Read the entity's latest subsequent interim financial statements (internal or external), if available
- Consider whether additional subsequent events review procedures are necessary.
- Determine whether identified subsequent events are appropriately reflected in the financial statements

IV.4.iii. Communication with those charged with governance

The following matters need to be communicated with those charged with governance:

- Our views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures
- Significant difficulties, if any, encountered during the audit
- Any significant matters arising from the audit
- Written representations requested of management
- Any circumstances that affect the form and content of our audit report
- Other matters significant to the oversight of the financial reporting process
- Any independence breaches
- Changes to the planned scope or timing of the audit
- Laws and regulations - matters involving non-compliance, other than where clearly inconsequential
- Significant deficiencies in internal control (in writing)
- Uncorrected misstatements - individual/aggregate impact and effect on audit report, including any material items
- Uncorrected misstatements - related to prior periods
- Management's refusal to allow external confirmation requests
- Related parties – significant matters
- Going concern - events or conditions that may cast significant doubt
- Auditor's report - emphasis of matter or other paragraphs
- Auditor's report - modifications
- Other information - material inconsistencies or misstatements of fact
- Initial audit engagements - misstatements affecting prior period financial statements

The auditor should prepare a planning and completion document/completion memorandum that gives a bird's eye view of the entire audit process starting from pre-audit activities to how the audit was planned, how it was executed, what communications happened during the course of the audit and how conclusions were reached and a report was drafted. The said document should provide appropriate audit evidence as to whether the audit was performed in accordance with the standards on auditing by way of SA checklists and other documentation wherever applicable

IV.5. Audit reporting

After evaluation of audit evidence and a detailed evaluation of misstatements, if any, the auditor should form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable framework, by considering each of the following:

- Whether sufficient appropriate audit evidence has been obtained
- Whether uncorrected misstatements are material, individually or in aggregate
- Whether the financial statements are prepared, in all material respects, in accordance with the requirements of the applicable framework - see section 'III.6. Financial statement related procedures'
- Whether the financial statements achieve fair presentation

- Whether the financial statements adequately refer to or describe the applicable framework
- Unmodified opinion will be issued using an appropriate template, or modified opinion will be issued using an appropriate template and consultation was performed as required.
- Consider whether it is necessary to include an emphasis of matter or other matter paragraph in the audit report.
- Verified that the audit report refers to the appropriate period(s).
- Where supplementary information that is not required by the applicable framework is presented, evaluate whether the information is nevertheless an integral part of the financial statements due to its nature or how it is presented.

Appendix 1 – Client acceptance and continuance form

Entity Name:____________________________Year of Incorporation:_________________

Registered Address:____

____

____

Registration Number:_____________________ Accounting Year End: ________________

☐ Acceptance form ☐ Continuance form

General Information:

1. Details of Directors

Name of Directors	Number of Interest Holding	Percentage Holding

2. Subsidiaries/Parent Information

Name of Parent/Subsidiaries	Address

3. Financial Statements Questions

S/N	Question	Response	Remarks /WP Ref
1	Entity Financial Information : In this section, document the financial summary for the past financial statement: Total Asset		

	Non – Current AssetTotal Liabilities Non – Current LiabilitiesEquity Capital		
2	What accounting standards are to be applied to the engagement (international, domestic, other)?		
3	What auditing standards are to be appliedto the engagement international, domestic, other)?		

Identity and Business Reputation of the Client's Principal Owners, Key Management, and Those Charged with itsGovernance	**Yes/No**	**Other relevant information. A "Yes" response in particular should be further explained– where applicable supported byhow the risk is to be mitigated to an acceptable level**
Do we have any concerns identifying ownership,key management or those charged with governance?		
Is there domination of key management by one/few individuals?		
Do we have concerns regarding management's competence? Matters to consider include: • Experience • Skill (e.g.: effective budget preparation and monitoring) • Depth • Background (e.g.: criminal convictions)		
Does management's / board of directors' attitude towards financial performance and business management raise a concern?		
Are there any overall concerns with the integrity or business reputation of the management or those charged with governance?		
Do we have concerns that the board does not foster and are not supportive of an ethical business culture?		

Nature of Client's Operations		
Does the complexity of the entity's structure provide us with any cause for concern (e.g. is thestructure seemingly unnecessarily complex, off- shore banking arrangements which seem unnecessary)?		

Do the entity operations involve tax complexities?		
Is the entity the subsidiary of a public company or a significant subsidiary?		
Does the entity operate in a specialized legal or regulatory environment?		
Does the media portrayal of the entity / management cause concern with respect tothe client's integrity?		
Was/is the entity involved in any past, current or impending significant litigation?		

Attitude Towards Aggressive Interpretation of Accounting Standardsand the Internal Control Environment		
Is there an attitude towards aggressive interpretation of accounting standards (e.g. revenue recognition)?		
Is there a concerning attitude towards the internal control environment (or itsimprovement)?		
Is there a history of unreliable accounting estimates by management (possibly resulting in disputes with past auditors)?		
Does management propose accounting policies or treatments of specific transactions which cast doubt on their integrity?		
Do we have any concerns about attitudes within the entity that controls are unimportant or shouldbe circumvented?		
Payment of Fees		
Have there been any concerns over management's ability and willingness to pay for professional services rendered in the previousyears?		
Scope Limitation		
Is there any indication of an inappropriate limitation in the scope of work/access to records?		
Money Laundering or Other Criminal Activities		
Is the entity operating in an industry or sector which has an exposure to fraud or illegal acts?		
Does the mode of the client's operations or business practices cast doubt on its integrity?		

Reason for Proposed Appointment/ Non-Reappointment of the Previous Firm		
Have our dealings with the predecessor auditor raised any concerns?		
Is there any concerning reason(s) why the previous auditors have not been re-appointed?		
Are there matters for concern in prior year(s) audit report?		
Has there been a high frequency of changing auditors?		
Do we have any history of disputes dealing with the entity?		
Identity and Business Reputation of Related Parties		
Do we have any concerns with related party transactions outside the ordinary course ofbusiness?		
Does the complexity of related party transactions give concern with respect to integrity?		

Overall Assessment

Does the integrity of the entity, its principal owners, key management, or those charged with its governance createan unacceptable risk?	
Please rate the client risk? (High, Moderate or Low)	

Competence to Perform the Engagement	**Response**
Indicate the number of years of experience the engagement partner has in the entity's industry.	
Is this engagement subject to partner rotationrequirements?	
Indicate the number of years of experience the engagement manager has in the entity's industry.	

	Yes/No	Other relevant information. A “Yes” response in particular should be further explained —where applicable supported by how the risk is to be mitigated to an acceptable level
Does the entity recognize revenue by applyingcomplex or evolving accounting conventions?		
Does the entity have significant activitiesrelated to any of the following areas: ☐ Acquisition accounting ☐ Reorganization ☐ Restructuring charges ☐ Self-insurance ☐ Use of derivatives ☐ Debt covenants ☐ Other		
Will the engagement require the use of work of experts?		
Are there any concerns regarding the availability of professional staff to enable completion of the engagement in accordance with quality standards and in a timely manner?		
Are there any concerns regarding the partner and staff having **sufficient knowledge and experience** for the engagement?		
Are any special licenses or permits or approvals required for our staff to carry-out the engagement in the jurisdiction where the work will be performed?		

Overall Assessment

Does the engagement team, including appropriate industry and specialty experts whowill be part of the team, have the relevant experience and competence and sufficient available time to: • Address the primary and other industriesnoted above? • Address any risks or issues noted in theabove? • Reduce any competency risks associatedwith the engagement to an acceptable level?		

Compliance with Ethical Requirements	**Yes/No**	**Other relevant information. A “Yes” response in particular should be further explained— where applicable supported by how the risk is to be mitigated to an acceptable level**
Are we aware of the independence rules to be applied in this engagement?		
Have we identified any potential independence- impairments with the entity and the Network thatwould preclude the Firm from performing the engagement?		
Have we identified any potential conflict of interest withthe entity and our Network that would preclude the Firm from performing the engagement?		
Does the Network have any business relationships,financial interests or loans with this entity?		
Are we aware of any member of the Firm’s engagement team having any potential employment with the entity,or been employed by the entity in the last 2 years?		
Does any partner of the Firm have family or personal relationships with the entity or any direct financial or indirect financial interest in the entity?		
Does any of the Firm’s staff that will be part of the engagement have family or personal relationships with the entity or any financial interest in the entity?		
Does the Firm have any former Partner or practice staff members who are in a director/executive role or employee of the entity?		
Does the Firm have a commission contingent fee arrangement with the entity on any attest or non-attest service?		
Does the Firm have deferred credit terms with the entity or unpaid fees which extend beyond one year?		

Does the entity's audit committee have any issue regarding this engagement?		
Does the Firm have any issues with respect to meeting the independence rules of other regulatory bodies?		
Is there actual or threatened significant disputes/litigation involving the entity and the Firm?		
Does this engagement involve a limitation of liability?		
Is the Firm providing litigation support or dispute analysis services to another client that might be considered to be in conflict with the interests of this entity?		

Overall Assessment

Will acceptance/continuance of this engagementcreate an independence violation?		
Will acceptance of this engagement create a conflict of interest?		
Please rate the independence risk?		
Please rate the potential conflict of interest risk?		

Additional Client Continuance Considerations	**Yes/No**	**Other relevant information. A "Yes" response in particular should be further explained— where applicable supported by how the risk is to be mitigated to an acceptable level**
Compared to the previous year, and based on your enquiries, are there any new circumstances that might impair our independence as auditors of this entity under the Firm's policies or the applicable professional or regulatory independence requirements? Consider in particular any changes in the client's structure, circumstances, ownership or management.		
Has the entity recently had significant and numerous acquisitions?		
Is there any indication that in the past three years, the entity requested a change in Engagement Leader or Team Manager?		
Have we had any disagreement with the entity or communicated a significant matter to the entity's regulator?		
Are there any issues related to payment of audit fees?		
Is there any issue on any imposed scope limitation?		
Are there any issues in relation to being able to adequately staff the audit?		